Who pays the most rates?

John Lavack, 20001249

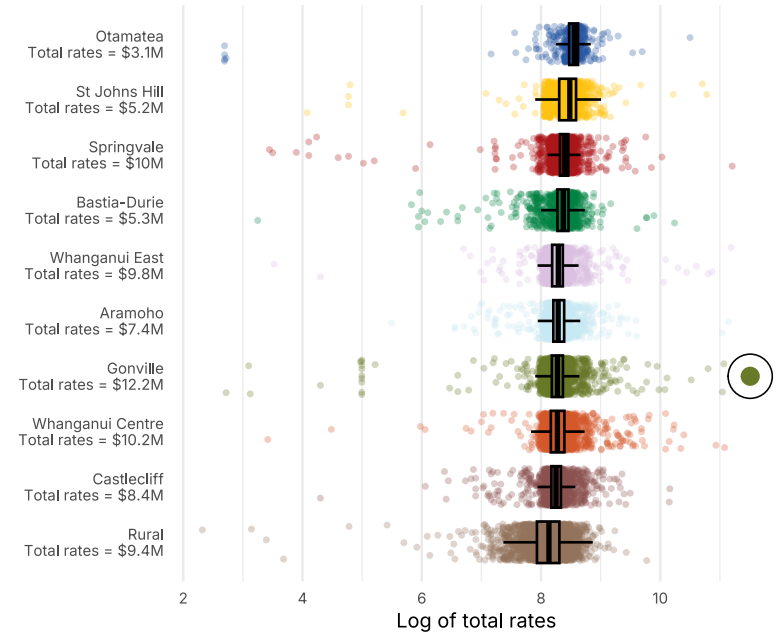
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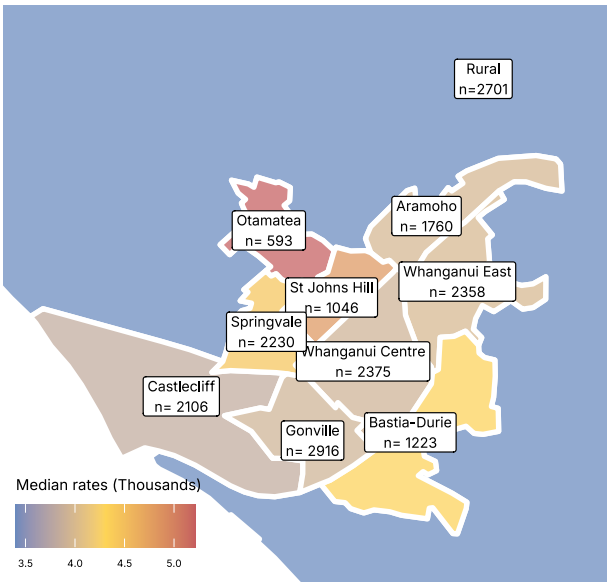
Residential rate payers make up 88.4% of rateable units and 77% of total rate income. The majority of the rate burden falls on them. Which raises discussion around who pays more and whether rates are 'fair'. For this analysis residential rates refers to both residential and lifestyle QV categories.

The following analysis uses Whanganui Council rates from 2022 to 2026 only. Total rates are analyses, these are comprised of fixed and variable portions. For the purpose of this analysis separating the fixed and variable portions was not necessary as the component breakdown per council service was not the subject.

The answer to who pays the most residential rates is not a simple one. The owner of property 4849 in Gonville paid the most rates individually. Otamatea rate payers pay the highest median rates in 2026 at $5,213. As a group they paid the least, $3.1 million. Suburbs like Otamatea have few residents, while ones like Gonville (with median rates of $3,928) have many. The box pot below shows the logarithm of the rates in order to show the distribution of rates within each suburb neatly due to the many outliers. Rates are not evenly spread and nor are people, hence the outliers. It is also interesting to note that suburb size does not directly lead to more rates, because housing density is not a factor of suburb size.
There are a lot of outliers, both high and low. We will return to these later.

Otamatea has the highest median rates. Gonville the highest total rates.
Property 4849 in Gonville paid the highest rates: $99,549.64



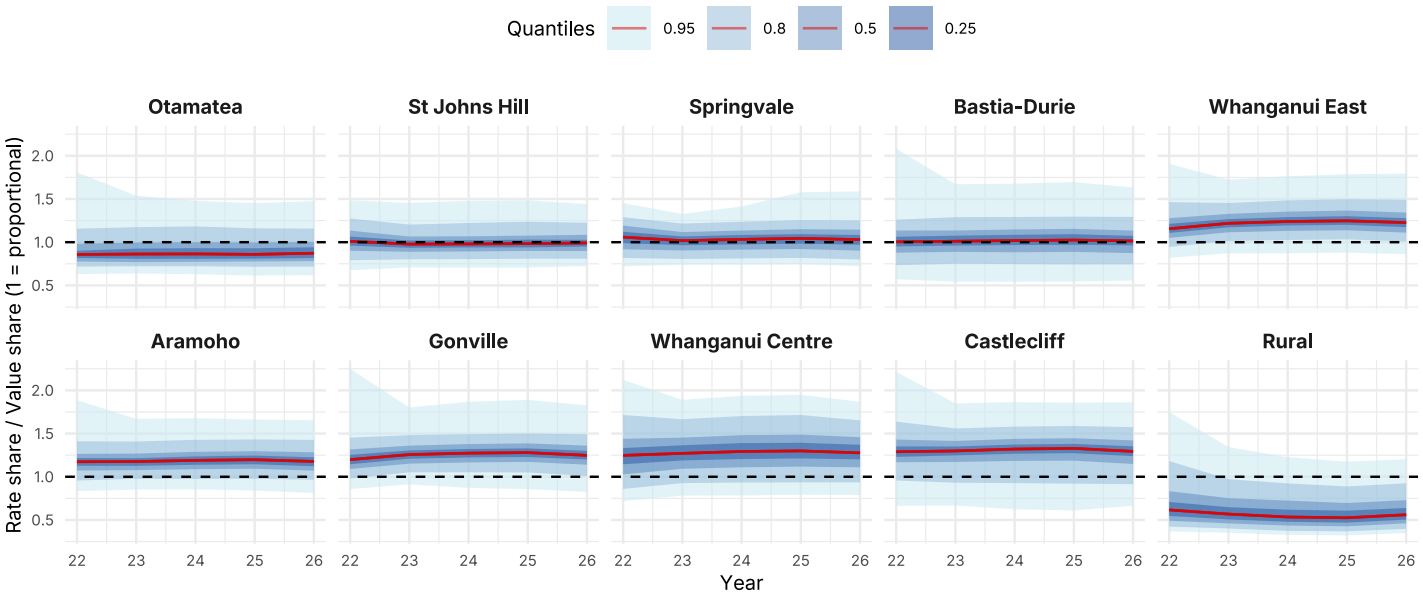


So, if the answer to who pays the most isn't straightforward, can we at least understand if it is fair? Presumably, rates are fairly allocated because "Each household is rated according to the value of their property. This means we all pitch in to pay" (Whanganui City Council, 2026). If so, each property's share of the total rates bill should equal its share of total property value — i.e. the ratio of total rates paid to QV share should be 1 or very close (the dashed line).

This is the case for St Johns Hill, Springvale and Bastia-Durie. For all others, no. Otamatea just contains the the proportional line at the edge of the top 50th quantile meaning the central 50% of ratepayers are paying proportionally, but this suburb is usually under paying. While rural properties are typically paying half of what their share of the total property value would predict. And units in other suburbs are over paying compared to what their share of the total property value would predict. This may be due to outliers, as Whangnui East, Centre, Aramoho and Gonville all have many, but Castlecliff has few high outlier and still pay comparably more. In general, it looks like rates are not fairly spread.

Rate payments are not evenly spread.

Ribbons centred on 1 indicate proportional allocation



Black dotted line is the proportion if every house paid the same share towards rates.

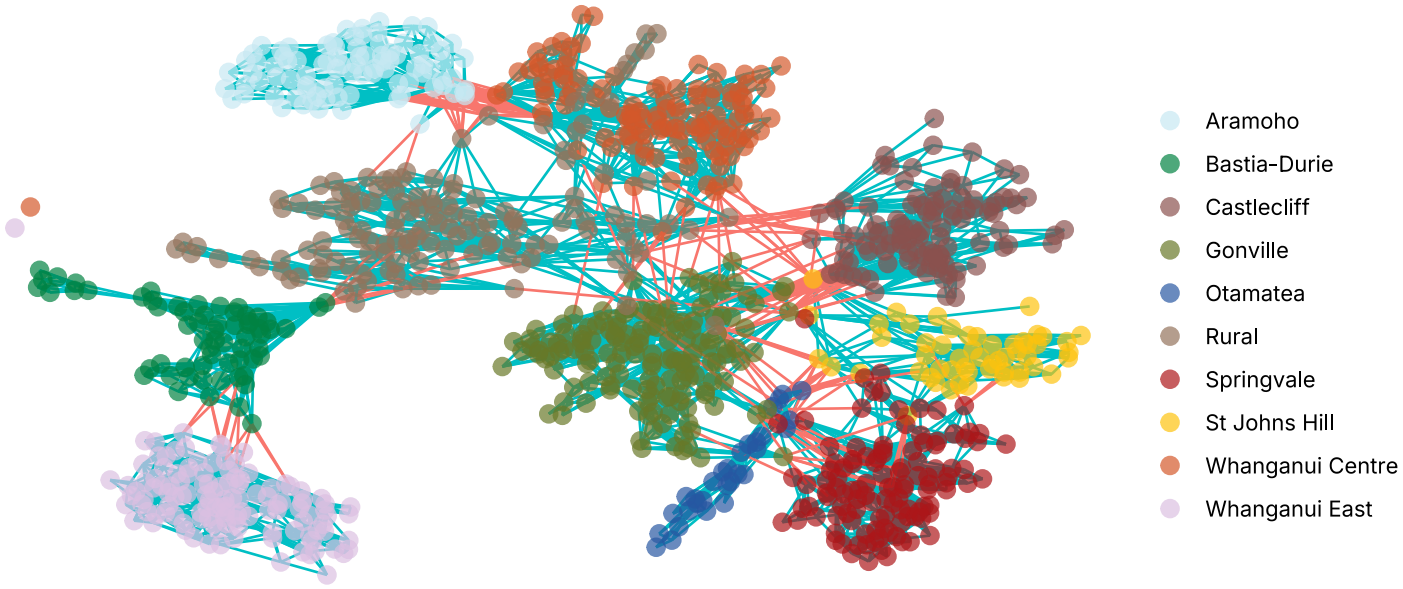
What may account for this behaviour? Rates are linked to QV valuations. QV valuations use sales data and consents (assumed improvement) calculate a home's value, which is used to adjust rates. What this means is that rates are, to some degree, influenced by how desirable a house is. If this were true, then considering what we know so far about suburb rates, then we would expect that houses closer together would have similar QV values (and hence rates) and that this would be represented within streets and suburbs.

What we see in the network below (showing a 1000 unit representative sample to keep the plot easy to read) is that the within suburb QV similarity links (811 + 3670) make up 96% of the total links for house's top 3 neighbours. QV values cluster within suburbs. The proximity is strongest within suburb, not within the same street. People in bigger houses don't necessarily pay similar rates irrespective of suburb. If this were true then there would be more cross suburb connections.

This accounts for why some suburbs pay more rates proportionally, because those areas are in higher demand, their rates are pushed up by the market.

Similar suburb, similar QV.

Cross-suburb edges (red) vs. same-suburb (blue)



185 cross-suburb | 811 within-street | 3670 cross-street

So, who pays the most and if it 'fair'?
The owner of unit 4849 is one answer.
Residents of Otamatea is another.
Residnets of Whangnui East, Centre, Aramoho, Gonville and Castlecliff who pay more proportionally is another. And whoever lives in the homes other people want to live in, is another answer. Irrespective, it isn't 'fair'.